



ARBA MINCH UNIVERSITY

**COLLEGE OF BUSINESS AND ECONOMICS
DEPARTMENT OF MANAGEMENT**

ENTREPRENEURSHIP & ENTERPRISE DEV'T

**PICTURE YOUR FUTURE USING ENTREPRENEURSHIP AS
A MASTER KEY FOR ECONOMIC GROWTH AND GOOD
GOVERNANCE..**

Chapter one

Introduction

There are four basic factors of production:

- 1. Land**
- 2. Labor**
- 3. Entrepreneurship**
- 4. Capital**

- following are among social sciences views available on entrepreneurship.
- Economist's View
- Sociologist's View
- Psychologist's View

Economist's View

- entrepreneurship and economic growth will take place in those situations where particular economic conditions are most favorable.
- Economic incentives are the main drive for the entrepreneurial activities.
- a well development market and efficient economic policies foster entrepreneurship a big way.

Sociologist's View

- Entrepreneurship is inhibited by the social system
- entrepreneurship is most likely to emerge under a specific social culture.
- According to them social sanctions, cultural values and role expectations are responsible for the emergence of entrepreneurship.

Psychologist's View

- ❖ entrepreneurship is most likely to emerge when a society possessing particular psychological characteristics
 - An institutional capacity to see things in new way (vision)
 - Energy of will and mind to overcome fixed habits of thought
 - An urge to do something
 - Dedication to fulfill a dream
 - The capacity to withstand social opposition
 - The high need for achievement

Entrepreneurship

- It is the process of **identifying**, **evaluating** and **exploiting** opportunities.
- Entrepreneurship is the art of turning an idea into a business.
- Entrepreneurs assemble and then integrate all the resources needed –the money, the people, the business model, the strategy—needed to transform an **invention or an idea into a viable business.**

Entrepreneurs

What is entrepreneur?

- ❖ An individual who undertakes the creation, organization, and ownership of a business.
- ❖ As an **entrepreneur**, you accept the risks and responsibilities of business ownership.
- ❖ Entrepreneurs respond to consumers' **wants** and **needs** with goods and services.
- ❖ Entrepreneurs are those who **marry their creative ideas with the purposeful action** and structure of a business.

Entrepreneurs V. Intrapreneurs

- **Entrepreneurs** are people that notice **opportunities** and take the initiative to mobilize resources to make **new goods and services**.
- **Intrapreneurs** notice opportunities and take initiative to mobilize resources, however they **work in large companies** and contribute **the innovation of them** to **firm**.
- **Intrapreneurs often become entrepreneurs.**

History of Entrepreneur

❖ Earliest Period:

- ✓ An entrepreneur was viewed as the one, who attempt to **establish trade routes** and signed contracts with many persons to sell his good.

❖ Middle Ages:

- ✓ Entrepreneur used to describe both as an actor and a person who **managed large production projects**.
- ✓ Individuals **did not take any risks b/c all the resources used to provided by the government** of the country, all an entrepreneur should do is to manage it.

17th Century

- An entrepreneur was a person who entered in to a **contract with the government to perform a service** or to supply stipulated products.
- The connection of the risk with entrepreneurship developed in the 17th C.
- Entrepreneur as a risk taker, “ buy at certain price and sell at uncertain price”

18th Century

- In the 18th century, the person with capital was differentiated from the one who needed capital.
- The **entrepreneur was** distinguished from the **capital provider**.
- Thomas Edison, the inventor of many inventions. He was a capital user (**an entrepreneur**), not capital a provider (**a venture capitalist**).

19th Centuries

- ✓ In the late 19th and early 20th centuries, entrepreneurs were frequently not distinguished from managers and were viewed mostly from an **economic perspective**.
- ✓ The entrepreneur organizes and manages an **enterprises for personal gain**.

20th century

- ✓ The function of the entrepreneurs is to **recreate or revolutionize** the pattern of production by introducing an invention.
- ✓ Innovation, the act of introducing some new ideas, is one of the most difficult tasks for the entrepreneur.

What common terms did you understand while defining entrepreneurship and entrepreneurs in ways?



Economic Impact of Entrepreneurial Firms

- **Innovation**

- Is the process of creating something new, which is central to the entrepreneurial process.
- Small firms are twice as innovative per employee as large firms.

- **Job Creation**

- In the past two decades, economic activity has moved in the direction of smaller entrepreneurial firms, which may be due to their unique ability to innovate and focus on specialized tasks.

Entrepreneurial Firms' Impact on Society and Larger Firms

- **Impact on Society**
 - The innovations of entrepreneurial firms have a dramatic impact on society.
 - Think of all the new products and services that make our lives easier, enhance our productivity at work, improve our health, and entertain us in new ways.
- **Impact on Larger Firms**
 - Many entrepreneurial firms have built their entire business models around producing products and services that help larger firms become more efficient and effective.

The Entrepreneurial Process

The Entrepreneurial Process Consists of Four Steps

Step 1: Deciding to become an entrepreneur.

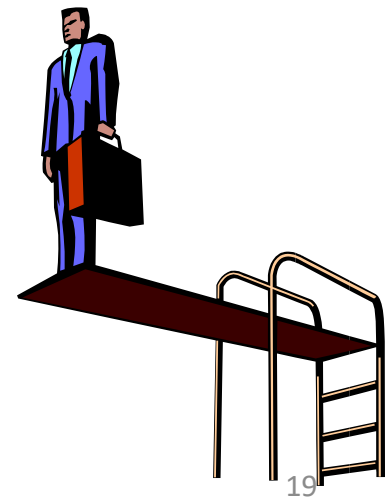
Step 2: Developing successful business ideas.

Step 3: Moving from an idea to an entrepreneurial firm.

Step 4: Managing and growing the entrepreneurial firm.

Qualities of successful entrepreneur

- **Need for Achievement:** individuals with a high need for achievement, i.e. a desire to succeed, where success is measured against a personal standard of excellence.
- **Willingness to take risk:** The risks that the entrepreneur takes in starting and or operating their own business are varied. Most entrepreneurs are calculated risk takers.



- **Self-Confidence:** Individuals who possess self-confidence feel they can meet the challenges that confront them. They see the problem in launching a new venture but believe in their own ability to overcome these problems.
- **Innovation and creativity:** Creativity is related to the generation of ideas which are new and unique. Conversely, Innovation is related to introduce something better into the market.



- **Total commitment:** Hard work, energy, and single mindedness are essential elements in the entrepreneurial profile, Such as running your own business in a 24-hours- a-day, 7-days-a-week commitment.
- **Effective time management:** Establishing goals, determining deadlines, allocating time for each and every important activity are personality traits entrepreneurs are identified with.

- **An Ability of leadership:** Successful entrepreneurs are successful leaders, they set goals for themselves and for others, and **direct and guide others** to accomplish goals.
- **An ability of decision making:** Successful entrepreneurs are creative decision makers. **Looking matters from different angles**, gathering relevant information for decision making
- **Desire for Independency:** They wish for autonomy, They believe that independency of action is the only sure way to get what they need.

Motivation for starting a business

- **Pull influences:** Some individuals are attracted towards small business ownership by positive motives such as:
 - ✓ For independence
 - ✓ Desire to exploit an opportunity
 - ✓ Turning previous work experience into business
 - ✓ Financial incentive

- **Push influences:** Many people are pushed into founding a new enterprise by variety of factors including;
 - ✓ Community attitude
 - ✓ Unemployment
 - ✓ Boring job assignment
 - ✓ Organization's lack of vision and direction
 - ✓ Hopelessness in increment of salary or wage
 - ✓ Repetitive/ routinize work environment/situation
 - ✓ Dislike to have another boss for the work

Entrepreneurship, Creativity and Innovation

1. Creativity:

- Creativity is the ability to develop new ideas and to discover new ways of looking at problems and Opportunities.
- ✓ Creativity is **not ability to create out of nothing**, but the ability to generate new ideas by **combining, changing, or reapplying existing ideas**.
- ✓ People become more creative when they feel motivated primarily by the interest, satisfaction, and challenge of the situation and not by external pressures.

2. Innovation

- Innovation is the **ability to apply** creative solutions to those problems and opportunities in order to enhance people's lives or to enrich society.

“Don't wait for extraordinary opportunities. Seize common occasions and make them great.

Weak men wait for opportunities; strong men make them.”

- **Orison Swett Marden**

Four types of innovation

- **Invention:** described as the creation of a **new** product, service or process
- **Extension:** the **expansion** of a product, service or process
- **Duplication:** defined as **replication** of an already existing product, service or process
- **Synthesis:** the **combination of existing concepts** and factors into a new formulation

3. Entrepreneurship

- Entrepreneurship is the result of a process that **apply both creativity and innovation** to capitalize on marketplace opportunities.

Entrepreneurship = creativity + innovation



Thinking New



Doing New

What is Opportunity?

(It is your independent reading part)

1.7. Benefits and Limitations of Entrepreneurship

People start their own business for a variety of reasons. Some have a bright **idea that will make them rich**, others find themselves unemployed and start their own **business to survive**; some are happy when they **are their own boss**; others want to make a particular **contribution to their community** and can see no other way of doing it except by setting upon their own business.

Benefits of Entrepreneurship

1) Opportunity to gain control over your destiny:

- ✓ Owing a business provides **entrepreneurs with independency**
- ✓ The opportunity to **achieve what is important to them.**
- ✓ They used their business to bring this desire to life
- ✓ They **reap the intrinsic rewards of knowing they are driving forces behind their business.**

2) Opportunity to reach your full potential:

- ❖ Too many people find their work **boring, unchallenging, and unexciting**. But to most entrepreneurs there is **little difference between work and play**. The two are synonymous.
- ❖ Entrepreneurs business becomes the instrument for self-expression and self-actualization.
- ❖ That is his/her talent, energy, limits entrepreneurs growth and that...means entrepreneurial situations.

3.Opportunity to reap unlimited profits: The profits their business can earn are an important motivating factor in the entrepreneur's decisions to launch companies. One venture capitalist that has financed many small companies says, "Starting your own company has always been the best way to create wealth. And even if you do not get rich doing it, you will still have more fun.

4. Opportunity to contribute to society and recognized for your effort:

MSE are the most respected and trusted in their communities. Trust and mutual respect are the hallmark companies have. Owners enjoy the trust and recognition they receive from the customer whom they have served faithfully. Playing a vital role in their local business systems and knowing that their work has a significant impact on how smoothly the nation's economy functions is yet another reward for small business managers.

5.Opportunity To Do What You Enjoy: A common sentiment among small business owners is that their work is no work. Most successful entrepreneurs choose to enter their particular business fields because they have an interest in them and enjoy those lines of work. They have their avocation (**hobbies**) their vocations (work) and are glad they did "find a job doing what they love, and will never have to work a day in their life".

The Potential Limitations Of Entrepreneurship

Although owning a business has many benefits and provides many opportunities, any one planning to enter the world of entrepreneurship should be aware of its potential drawbacks.

1. *Uncertainty of income:* Opening and running a business provides no guarantees that an entrepreneur will earn enough money to survive. MSEs barely earns enough to provide the owner manager with an adequate income. *In early days, the owner often has trouble meeting financial obligations and may have to live on saving. The steady income that comes with working for someone else is absent and the owner is always the last one to be paid.*

2. Risk: Starting or buying a new business involves risk, and the higher the rewards, the greater the risk entrepreneurs usually face. This is why entrepreneurs tend to evaluate risk carefully. It should be noted, "People who successfully innovate and start businesses come in all shapes and sizes but they do have a few things others do not. In the deepest sense, they are willing to accept risk for what they believe in". They have the ability to cope with a professional life riddled by ambiguity, a consistent lack of clarity. Most have a drive to put their imprint on whatever they are creating. *LOOK TYPES OF RISK BELOW:*

A. Financial Risk: In most new ventures, the individual puts a significant portion of his or her saving or other resources at stake. This money or resources will, in all likelihood, be lost if the venture fails. The entrepreneur also may be required to sign personally on company obligations that far exceed his or her personal bankruptcy. Many people are unwilling to risk their savings, house, property and salary to start a new business.

B. Family and Social Risk: Starting anew venture uses much of the **entrepreneur's energy and time**. Consequently, his or her other commitments may suffer. **Entrepreneurs, who are married, and specially those with children, expose their families to risk of an incomplete family experience and the possibility of permanent emotional scars. In addition, old friends may vanish slowly because of missed 'get-together'.**

C. Career Risk: a question frequently raised by would-be entrepreneurs is whether they will be able to find a job and **go back to old job if their ventures fail**. This is a major concern to managers who have a secure organizational job with a high salary and a good benefit package.

To reduce such risk, starting a part time business is popular gateway to entrepreneurship. **Part-time entrepreneurs have the best of best worlds**; they can ease in to business for themselves without sacrificing the security of a steady paycheck and benefits.

D. Psychic Risk: The greatest risk may to the well being of the entrepreneur. Money can be replaced, a new house can be built, children, and friends can be adapted. However, some entrepreneurs who have suffered **financial catastrophes have been unable to bounce back, at least immediately.** The psychological impact has proven to be too severe for them.

3.Long hours and hard work: Business start-ups often demand that owners keep nightmarish schedule. In many start-ups, six or seven day workweeks with no paid vacations are that norm. When the business closes, the revenue stops coming in and the customers go elsewhere. Even when you own your own business, you still always are working for some one else ‘your customer and clients’.

4. Lower quality of life until the business gets established: The long hour and handwork needed to launch a business can take their toll on the rest of the entrepreneurs' life. Business owners always find that their roles as husband or wives and fathers and mothers take a back seat to their roles as a business founders. Part of the problem is that most entrepreneurs launch their business between the age of 25 and 39, just when they start their families. It is very tough to give the amount of work that is required to build a company with out slighting your family. As a result, marriages and friendships are too often casualties of small business ownership.

5.High level of stress: starting and managing a business can be an incredibly rewarding experience, but it also can be a highly stressful. Entrepreneurs often have made significant investments in their companies, have left behind the safety and security of a steady paycheck and have mortgaged everything they own to get in to businesses. Failure may mean total financial ruin, and that creates intense level of stress and anxiety.

6. *Complete Responsibility*: It is great to be the boss, but many entrepreneurs find that they must make decisions on issues about which they are not knowledgeable. When there is no one to ask, the pressure can build quickly. The realization that the decisions they make are the cause of success or failure has a devastating effect on some people. Small business owners discover quickly that they are the business.

Ethical issues governing Entrepreneurship

- An entrepreneur is a person who undertakes business activity with the help of societal resources
- Businesses must do more than provide jobs and make a profit.
- Employ environmental affairs personnel.
- Eliminate wasteful practices and emissions of pollutants from manufacturing processes.
- Improve products to increase efficiency.
- Avoid product adulteration

Their responsibility towards society can be understood as follows

- ✓ Responsibility for Consumers – customers are king
- ✓ Responsibility for Employees – life blood of the organization
- ✓ Responsibility for Related Professional Institutes: chamber of commerce, labor union, mercantile federation, social welfare institute
- ✓ Responsibility for Local Public
- ✓ Responsibility for the Nation

THANK YOU !!